

The motion is **granted**.

5. 9:00 AM CASE NUMBER: C24-01208

CASE NAME: DOMONIQUE MEJIA VS. DA'TONJA RAMIREZ

HEARING ON DEMURRER TO: TO 1ST AMENDED COMPLAINT | CONTD FROM 3/27/26

FILED BY: MAINSTREAM ESCROW, INC.

TENTATIVE RULING:

Before the Court is a demurrer by defendant Mainstream Escrow, Inc. to the first amended complaint. For the reasons set forth, the Court rules as follows: (a) general demurrers to 1st, 2nd, 3rd, 6th, 7th, and 8th causes of action – **sustained**, without prejudice to Plaintiff filing a motion for leave to amend to add these or other causes of action; (b) general and special demurrers to 4th and 5th causes of action – **overruled**; (c) special demurrers to 10th, 11th, 12th, and 13th causes of action – **sustained, with leave to amend**, as set forth below; and (d) demurrer to prayer for punitive damages - **overruled**.

Background

On May 6, 2024, plaintiff Dominique Mejia filed a complaint against Da'Tonja Ramirez, Mainstream Escrow, Inc. and other defendants arising out of a grant deed which was purportedly executed by her granting sole ownership to a property in Hercules in which she and defendant Ramirez held title as joint tenants. Plaintiff alleges Ramirez and other defendants, now including Mainstream, conspired to remove Mejia's interest in the property as part of a refinance transaction by obtaining and recording a fraudulent grant deed transferring title to Ramirez alone, a grant deed Mejia denies she executed.

Mainstream filed a motion for judgment on the pleadings directed to the fourth and fifth causes of action of the original complaint, which the Court granted, with leave to amend. Plaintiff filed her first amended complaint ("FAC"). Mainstream demurs to all causes of action of the FAC and to the prayer for punitive damages.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v.*

Mission Community Hospital (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (See also Code Civ. Proc. § 452.) A demurrer must dispose of an entire cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.)

Demurrers for uncertainty are disfavored. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135.) A demurrer on that ground should not be sustained unless the pleading "is so incomprehensible that a defendant cannot reasonably respond" because "ambiguities can reasonably be clarified under modern rules of discovery. [Citation omitted.]" (*Id.*) "Ultimately, the complaint is sufficient if 'the adversary has been fairly apprised of the factual basis of the claim against him.'" [Citations, internal quotations omitted.]" (*Randall v. Ditech Financial, LLC* (2018) 23 Cal.App.5th 804, 810.)

Analysis

A. General Demurrers to 1st, 2nd, 3rd, 6th, 7th and 8th Causes of Action as Exceeding Scope of Leave to Amend on Motion for Judgment on the Pleadings

Plaintiff's original complaint alleged only two causes of action against Mainstream for negligence (4th C/A) and gross negligence (5th C/A). The Court granted Mainstream's motion for judgment on the pleadings with leave for Plaintiff to amend to try to state facts sufficient to allege those causes of action as the claims as pled failed to allege facts to support the existence of a duty owed by Mainstream to Plaintiff. (11/6/2025 Order After Hearing [adopting October 17, 2025 Tent. Rul.].)

Plaintiff alleges six new causes of action against Mainstream, including (1) fraud, deceit and misrepresentation (1st C/A), (2) intentional interference with contractual relationship (2nd C/A), civil conspiracy (3rd C/A), breach of fiduciary duty (6th C/A), aiding and abetting fraud/forgery (7th C/A), and negligent

supervision, hiring, training and retention (8th C/A). The order granting the Mainstream motion for judgment on the pleadings with leave to amend did not grant Plaintiff a general right to amend her complaint to allege new causes of action against Mainstream. (11/6/2025 OAH.) The order granting leave to amend the negligence and gross negligence causes of action, the only two causes of action pled against Mainstream, indicated that leave to amend was granted because "Plaintiff may be able to allege additional facts to support the existence of a duty or to support the application of the exception by alleging facts showing there was clear evidence of fraud known to Mainstream that indicated the grant deed giving title solely to Ramirez was forged or fraudulent." (11/6/2025 OAH p. 9.) The Court granted Plaintiff leave to amend the causes of action alleged (negligence and gross negligence) to add facts regarding Mainstream's knowledge of a fraud or forgery by others which might state facts sufficient to allege the element of duty which was missing from those causes of action.

" 'Following an order sustaining a demurrer or a motion for judgment on the pleadings with leave to amend, the plaintiff may amend his or her complaint only as authorized by the court's order. [Citation.] The plaintiff may not amend the complaint to add a new cause of action without having obtained permission to do so, unless the new cause of action is within the scope of the order granting leave to amend.' [Citation omitted.]" (*Zakk v. Diesel* (2019) 33 Cal.App.5th 431, 456 [quoting *Harris v. Wachovia Mortgage, FSB* (2010) 185 Cal.App.4th 1018, 1023 cited by Mainstream].) (*See also Community Water Coalition v. Santa Cruz County Local Agency Formation Com.* (2011) 200 Cal.App.4th 1317, 1329-1330 [stating "It is the rule that when a trial court sustains a demurrer with leave to amend, the scope of the grant of leave is ordinarily a limited one. It gives the pleader an opportunity to cure the defects in the particular causes of action to which the demurrer was sustained, but that is all," and holding the Court may strike the new cause of action alleged as not "drawn or filed in conformity with . . . an order of the court." (Code Civ. Proc., § 436, subd. (b).)"].)

In *Zakk v. Diesel, supra*, the Court sustained demurrers to plaintiff's claims for breach of an oral contract on the ground of the statute of frauds and that the

pleading did not allege sufficient facts to support an estoppel from defendants asserting the statute of frauds. (*Zakk v. Diesel, supra*, 33 Cal.App.5th at 439-442.) The plaintiff then filed a third amended complaint, adding a cause of action for promissory estoppel. The trial court sustained the demurrer to the promissory estoppel cause of action on the ground that it was added without leave of court and was outside the prior ruling granting leave to amend after the demurrer to the second amended complaint was sustained. (*Id.* at 445-446.)

Relying on the *Harris v. Wachovia* decision, the Court of Appeal held the trial court properly sustained the demurrer to the promissory estoppel cause of action because plaintiff had not obtained leave to amend to add that new cause of action, rejecting the plaintiff's argument that adding that new cause of action responded to the trial court's concerns regarding the statute of frauds as promissory estoppel is not subject to the statute of frauds. (*Id.* at 456.)

Affirming the trial court's order, the Court of Appeal explained, "The granting of leave to amend after a demurrer is sustained on one ground does not give the plaintiff a license to add any possible cause of action that might not be subject to dismissal on that ground. Otherwise, there would be virtually no limitation on amendments following the sustaining of a demurrer. [¶] Because Zakk did not obtain leave from the trial court to amend his complaint to add a promissory estoppel cause of action, we affirm the judgment of dismissal with respect to that cause of action." (*Id.*)

Plaintiff does not address the decisions limiting the scope of leave to amend after a demurrer is sustained or judgment on the pleadings granted. Plaintiff argues unpersuasively that she has merely alleged additional facts to show that there was "clear evidence of fraud known to Mainstream" to support a duty by Mainstream to Plaintiff to state a negligence or gross negligence claim. (Opp. p. 8, ll. 7-11.) That is not the case.

Rather, Plaintiff now attempts to allege several entirely new causes of action by alleging that Mainstream itself committed fraud or participated in fraud or forgery directly or as a co-conspirator or aider and abetter, that Mainstream intentionally interfered with Plaintiff's contractual relationship, and that Mainstream breached fiduciary duties it allegedly owed to Plaintiff. The new causes of action alleged against Mainstream as the 1st, 2nd, 3rd, 6th, and 7th

causes of action are outside the scope of leave to amend granted in the Court's November 6, 2025 order after hearing sustaining the demurrer to the negligence and gross negligence claims in the original complaint. Plaintiff did not seek leave to amend to add those causes of action.

The cause of action for negligent supervision, hiring, training, and retention (referred to as "negligent supervision" for convenience) is closer, but that cause of action is also still outside the scope of the claims alleged for negligence and gross negligence in the original complaint to which the Court granted the motion for judgment on the pleadings and leave to amend. "[A]n employer may be liable to a third party for negligently hiring or retaining an unfit employee. [Citation omitted.] Negligent hiring/retention is a theory of direct liability—not vicarious liability. In a negligent hiring/retention cause of action, the neglect alleged is not that of the employee. The neglect pleaded is that of the employer itself. [Citation omitted.] [¶] An employer may be negligent because it has reason to know the employee, because of his qualities, '[i]s likely to harm others in view of the work or instrumentalities entrusted to him. If the dangerous quality of the [employee] causes harm, the [employer] may be liable under the rule that one initiating conduct having an undue tendency to cause harm is liable therefor. . . . [¶] . . . An [employee] . . . may be incompetent because of his reckless or vicious disposition, and if [an employer], without exercising due care in selection, employs a vicious person to do an act which necessarily brings him in contact with others while in the performance of a duty, he is subject to liability for harm caused by the vicious propensity. . . . [¶] One who employs another to act for him is not liable . . . merely because the one employed is incompetent, vicious, or careless. If liability results it is because, under the circumstances, the employer has not taken the care which a prudent man would take in selecting the person for the business in hand. . . . [¶] Liability results . . . not because of the relation of the parties but because the employer antecedently had reason to believe that an undue risk of harm would exist because of the employment. . . .['] [Citation, internal quotation marks omitted.]" (*J.W. v. Watchtower Bible & Tract Society of New York, Inc.* (2018) 29 Cal. App. 5th 1142, 1163-1164.)

The negligent supervision claim invokes standards of care based on

Mainstream's role as an employer, which is different from the general duty of care Plaintiff alleged in the original causes of action for negligence or gross negligence, in which Plaintiff alleged essentially that Mainstream's employees were negligent by allowing other defendants to use or record a forged deed to convey Plaintiff's title to the property, with Mainstream's liability arising from the employee's conduct based on vicarious liability. For that reason, the negligent supervision cause of action now alleged is also outside the scope of the leave to amend granted by the Court in granting the motion for judgment on the pleadings on the fourth and fifth causes of action of the original complaint.

The demurrers to the 1st, 2nd, 3rd, 6th, 7th, and 8th causes of action are **sustained** on this ground. If Plaintiff wishes to pursue these additional causes of action, Plaintiff may make an appropriate motion for leave to amend to assert them. Given this ruling, the Court will not address the merits of the sufficiency of the factual allegations supporting these new causes of action to state causes of action against Mainstream.

B. General and Special Demurrers to 4th and 5th C/As

California does not recognize gross negligence as a common law cause of action distinct from common law negligence. (*Jimenez v. 24 Hour Fitness USA, Inc.* (2015) 237 Cal.App.4th 546, 552, fn. 3.) "As a degree of negligence, '[g]ross negligence is pleaded by alleging the traditional elements of negligence: duty, breach, causation, and damages.' [Citation omitted.]" (*Id.*) Whether the claim is for negligence or gross negligence, duty, breach of duty and causation are essential elements of a negligence claim. (*Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.) A claim for gross negligence is pled by also alleging the defendant's conduct involved either "want of even scant care" or "extreme departure from the ordinary standard of conduct." (*City of Santa Barbara v. Superior Court* (2007) 41 Cal.4th 747, 754-755 [internal quotation marks omitted].)

The prior ruling on Mainstream's motion for judgment on the pleadings detailed the applicable law on the duties owed by an escrow company which are generally limited to the parties to the escrow, not third parties. The Court

reiterates the applicable law.

An escrow holder owes duties to the parties to an escrow, but not to nonparties to the escrow even if the nonparty claims an interest in the transaction.

(*Summit Financial Holdings, Ltd. v. Continental Lawyers Title Co.* (2002) 27 Cal.4th 705, 711-716.) The escrow holder's duties are limited under the case law; "[a]bsent clear evidence of fraud, an escrow holder's obligations are limited to compliance with the parties' instructions. [Citation omitted.]" (*Id.* at 711.)

In *Summit*, the plaintiff alleged claims of both breach of fiduciary duty and negligence. Plaintiff Summit was not a party to the escrow for the refinance of certain real property which was subject to a deed of trust securing a note to Talbert. Talbert assigned his interest in the note to Summit. Neither Talbert nor Summit were parties to the escrow. The escrow holder complied with instructions from the property owner, who was a party to the escrow, to pay the refinance proceeds to Talbert to satisfy the note, even though the escrow holder, in that case the title company that also had prepared a preliminary title report, knew there was a recorded assignment of the note and deed of trust from Talbert to Summit. (*Id.* at 708-710.) Summit was not paid the proceeds of the note repayment by Talbert, and Summit sued the escrow company, alleging the escrow company was negligent in paying Talbert instead of Summit.

Summit argued that because the escrow company knew about the assignment of the note, the escrow company "breached both a *fiduciary* duty and a *tort* duty to Summit" when it paid Talbert. (*Id.* at 711 [italics in original].) In addressing the claimed fiduciary duty, Summit relied on the case *Kirby v. Palos Verdes Escrow Co.* (1986) 183 Cal.App.3d 57, a case the Court of Appeal in *Summit* noted "appears to be the only California case that holds an escrow holder can be liable to strangers to an escrow for injuries allegedly caused by the escrow holder following its principals' instructions." (*Id.* at 712-713.) The California Supreme Court agreed with the Court of Appeal's analysis in *Summit* that *Kirby*'s analysis was flawed and overruled *Kirby* in part, because it improperly extended cases which held the escrow company is bound to observe the effect of an assignment when the assignment is made by a party to the escrow to circumstances in which the assignment involves nonparties to the

escrow. Since *Summit* also involved an assignment by nonparties to the escrow, the Court held the escrow company had no fiduciary duty to the nonparties. (*Id.* at 714-715.) (See also *Alereza v. Chicago Title Co.* (2016) 6 Cal.App.5th 551, 553-554, 560 [affirming judgment of nonsuit for title company acting as escrow holding on sole issue of whether escrow owed a legal duty of care to plaintiff under *Biakanja* factors, where plaintiff was not a party to the escrow or named as a third party beneficiary of the escrow in the escrow instructions, stating "Even though Alereza provided the purchase funds and provided a note secured by his residence, the escrow completed a sale that did not involve Alereza personally as buyer or seller. Alereza was not a party to the escrow instructions nor was he a third party beneficiary of the transaction."].)

The Court in *Summit* also held there was no duty owed by the escrow holder to the nonparty to the escrow in that case under the *Biakanja* test, noting, among other reasons, that the transaction was not intended to affect or benefit Summit and that any impact the transaction had on Summit was "collateral to the primary purposes of the escrow." (*Summit, supra*, 27 Cal.4th at 715-716 [addressing the factors set forth in *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650 for determining whether a tort duty in negligence is owed to a third party not in privity].) (See also *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 840, fn. 8 ["In a variety of contexts, California courts have held that a professional or other business entity that enters into a contract to provide services to an individual or entity does not owe a tort duty of care to a third party with respect to an economic loss allegedly incurred by the third party when recognition of such a duty of care to the third party would create a potential conflict of obligations for the professional or business entity in light of its responsibility to the individual or business with which it has contracted. [Citations omitted].," citing *Summit*, among other decisions].)

An escrow holder's limited duty is to comply with the escrow instructions, and it is not generally required to disclose suspicious facts or circumstances. (*Lee v. Title Ins. & Trust Co.* (1968) 264 Cal.App.2d 160, 162–163.) The one limited exception is if there is "clear evidence of fraud." (*Summit, supra*, 27 Cal.4th at 705, 711 [emphasis added].) (See also *Lee v. Title Ins. & Trust Co., supra*, 264 Cal.App.2d at 162.)

In *Lee v. Title Ins. & Trust Co.*, *supra*, 264 Cal.App.2d 160, the plaintiff sued an escrow holder alleging that the escrow holder knew other defendants were defrauding the plaintiff but failed to inform the plaintiff. The Court of Appeal upheld the trial court's order sustaining a demurrer without leave to amend, stating "it is generally held that no liability attaches to the escrow holder for his failure to do something not required by the terms of the escrow or for a loss incurred while obediently following his escrow instructions." (*Id.* at 162-163.) (See also *Markowitz v. Fidelity Nat. Title Co.* (2006) 142 Cal.App.4th 508, 528 ["When an escrow holder knows a party to the escrow is relying on it for protection as to facts learned by the escrow holder, the escrow holder can be held liable if it does not disclose those facts to the party. [Citation omitted.] Having had little or no contact with Donald, who was not a party to the escrow, Fidelity would have had no reason to know or expect that Donald was looking to Fidelity for protection as to facts learned by it. [Citation omitted.]"].)

Relevant to the negligence and gross negligence causes of action, Plaintiff summarizes the new allegations she contends allege that there was "clear evidence of fraud" known to Mainstream in her opposition. She contends the following new factual allegations show "clear evidence of fraud" that bring this case into the exception stated in *Summit*: (1) Mainstream had actual or constructive notice that title to the Property was held by Mejia and Ramirez as joint tenants (FAC ¶ 20); (2) Mainstream reviewed title documents showing Mejia's ownership interest, including an existing recorded deed of trust signed by Mejia (FAC ¶ 20); (3) Mainstream "processed" a grant deed conveying Mejia's title without Mejia's involvement in the escrow with an out of state notarization for a California co-owner that was a "red flag" (FAC ¶¶ 21, 22, 25); and (4) Mainstream failed to verify Plaintiff's consent to the grant deed (FAC ¶ 25). (Opp. p. 8, ll. 12-19.) In paragraph 50, Plaintiff reiterates her allegations that Mainstream breached its duty of care by processing the grant deed notarized out of state and facilitating "the recording of the forged" grant deed, and in doing so, failed to (1) independently verify the grant deed though Ramirez was a California resident; (2) contact Mejia despite "actual knowledge she was a record title holder"; (3) compare "known signatures" of Mejia to the grant deed to verify Mejia's signature; and (4) comply with "industry standards" for signature verification and its own internal standards and procedures. (FAC ¶

50.)

While the each individual fact alleged may not alone demonstrate Mainstream had "clear evidence of fraud," the Court concludes that taken together and coupled with the copies of the existing recorded deed of trust signed by Mejia which Plaintiff alleges Mainstream reviewed and the grant deed notarized in Georgia, Plaintiff has alleged facts sufficient to at least make whether Mainstream had "clear evidence of fraud" a question of fact not resolvable on demurrer as to the negligence and gross negligence causes of action. *Alereza, supra*, for example was decided by a nonsuit in favor of the defendant at trial. (*Alereza, supra*, 6 Cal.App.5th at 553-554.)

Mainstream's knowledge that Mejia was a record title holder and that the effect of the grant deed was her relinquishment of title alone are not enough to meet the "clear evidence of fraud" standard in *Summit*. (*Compare to Summit, supra*, 27 Cal.4th at 711-716, in which escrow knew from recorded documents that a note and deed of trust had been assigned to a third party but followed the instructions from the parties to the escrow to disburse the sale proceeds to the original note/trust deed holder, for which the Court held escrow had no liability].)

The fact that Mejia's signature was notarized by an out of state notary coupled with Mejia's relinquishment of title by the grant deed also do not present clear evidence of fraud. The notary statutes contemplate that documents may be taken outside the state and acknowledged before an out- of-state notary public, with the acknowledgement accepted in California. (Civ. Code § 1182.) In addition, Plaintiff alleges that Mainstream was told Mejia was vacationing in Georgia or had moved there as the explanation for the Georgia notarization. (FAC ¶ 57.)

Nevertheless, Plaintiff attaches a copy of the existing deed of trust recorded in November 2021 signed by Mejia which was to be reconveyed as part of the new refinance transaction, and she points to the inconsistency between the "known" signature on that deed of trust and the grant deed notarized in Georgia conveying Mejia's interest. (FAC Exhs. 1 [Georgia grant deed] and 3 [2021 deed of trust].) Plaintiff alleges Mainstream reviewed those documents as part of the disputed transaction. (FAC ¶ 20.) Mejia's signatures are not

similar on the two documents. (*Compare* FAC Exhs. 1 and 2) Those facts coupled with the out-of-state execution and notarization of a grant deed by which Mejia was relinquishing her title interest to another only a few months after a refinance transaction completed in November 2021 allege facts sufficient to make it a factual question whether the information before Mainstream was "clear evidence of fraud." The Court notes Plaintiff also alleges in paragraph 29, incorporated into the two negligence causes of action, that Mainstream itself participated in defrauding Mejia by forging the signature on the grant deed "through negligence or malice and for financial gain." (FAC ¶¶ 29, 44, 53.) An allegation that Mainstream actually participated in the fraud by forging the grant deed that conveyed title to Ramirez alone may well fit within the "clear evidence of fraud" exception in *Summit*.

The Court concludes that for purposes of a demurrer, Plaintiff has alleged sufficient facts to raise a factual question as to whether the combination of facts summarized above with Mainstream's review of the existing trust deed and grant deed where the signatures by Mejia are markedly different constituted "clear" evidence of fraud for the exception to the lack of duty stated in *Summit*. Ignoring clear evidence of fraud may rise to the level of gross negligence as an "extreme" departure from ordinary care in light of the allegations that Mainstream failed to comply not only with industry standards but also its own internal protocols under the circumstances, including with regard to verifying signatures where the documents before Mainstream appear to bear signatures not remotely similar with suspicious circumstances that a few months after the Supreme Lending transaction (November 2021), Mejia had moved or was out of state and transferring her title to Ramirez alone. As gross negligence is a matter of degree, the Court cannot conclude as a matter of law on demurrer that the allegations could not support a finding of gross negligence.

The Court also rejects Mainstream's theory that the allegations do not support that Mainstream's acts or omissions may have been a substantial factor causing Mejia's loss. Substantial factor is the standard for causation under applicable law, such that more than one factor may cause or contribute to the plaintiff's loss. (*Rutherford v. Owens-Illinois, Inc.* (1997) 16 Cal.4th 953, 968, 969 ["a cause

in fact is something that is a substantial factor in bringing about the injury"]; *Yanez v. Plummer* (2013) 221 Cal.App.4th 180, 187 ["A defendant's negligent conduct may combine with another factor to cause harm; if a defendant's negligence was a substantial factor in causing the plaintiff's harm, then the defendant is responsible for the harm; a defendant cannot avoid responsibility just because some other person, condition, or event was also a substantial factor in causing the plaintiff's harm; but conduct is not a substantial factor in causing harm if the same harm would have occurred without that conduct."].)

The Court agrees with Plaintiff that the economic loss rule also does not bar the claim in this case. Plaintiff does not merely allege an "economic" or financial loss. (*Southern California Gas Leak Cases* (2019) 7 Cal. 5th 391, 400 [under California precedent, "liability in negligence for purely economic losses" is " 'the exception, not the rule' "].) (*See also Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 58 ["Recognition of a duty to manage business affairs so as to prevent purely economic loss to third parties in their financial transactions is the exception, not the rule, in negligence law."].) In the *Southern California Gas Leak Cases*, the Court had to decide " if local businesses—none of which allege they suffered personal injury or property damage—may recover in negligence for income lost because of the leak," i.e., "purely economic losses." (*Id.* at 393.) Here, Plaintiff is not alleging a purely monetary loss; she is alleging she lost her real property as a result of Mainstream's acts and omissions.

Mainstream cites no case authority in which the loss of real property, particularly residential property which was involved in this case, is considered a purely economic or financial loss such that no duty arises in negligence under the circumstances. (*See, e.g., Real Estate Analytics, LLC v. Vallas* (2008) 160 Cal. App. 4th 463, 475 ["Because land is unique, different locations are not necessarily interchangeable, without evidence showing this to be the case," addressing the presumption that damages are an inadequate remedy for loss of land]; Civ. Code § 3387 ["It is to be presumed that the breach of an agreement to transfer real property cannot be adequately relieved by pecuniary compensation. In the case of a single-family dwelling which the party seeking performance intends to occupy, the presumption is conclusive."].)

Defendant's demurrer to the fourth cause of action refers to the cause of action

being time-barred under Code of Civil Procedure § 339. (Dem. p. 4, ll. 21-24.) Mainstream's motion for judgment on the pleadings to these causes of action was based in part on the claims being time-barred, which the Court rejected. (11/6/2025 Order After Hearing [adopting October 17, 2025 Tent. Rul.].) The Court also rejects Mainstream's contention that the amendments to the FAC with regard to the negligence and gross negligence causes of action exceed the scope of the leave to amend granted in the order on the motion for judgment on the pleadings. Mainstream does not make any arguments or cite authorities to support them in its memorandum in support of the demurrer to these two causes of action. (MPA ISO Dem. p. 17, l. 7 – p. 18, l. 16.) Special demurrers for uncertainty are disfavored; the Court finds uncertainty, if any, regarding these causes of action can be addressed through discovery. (*Lickiss, supra*, 208 Cal.App.4th at 1135.)

The general and special demurrers to the fourth and fifth causes of action are **overruled**.

C. Demurrers to Equitable Rescission, Quiet Title, Partition, and Equitable Relief Causes of Action (10th-13th C/As)

Mainstream makes a special demurrer for uncertainty to these four causes of action because it is unclear whether they are directed to Mainstream, as they are alleged against "Defendants." The title of each cause of action does not specify the party or parties against whom they are asserted. Plaintiff responds by stating that though these claims refer to "Defendants," they are alleged against Ramirez only. (Opp. p. 16, ll. 20-25.) There are five named defendants in the action.

At a minimum, the causes of action as pled violate Rule 2.112 of the California Rules of Court. That rule requires that each cause of action identify the party against whom it is asserted if there is more than one defendant (or cross-defendant) named in the action. (Cal. R. Ct., Rule 2.112 subd. (4).) Failure to comply with this requirement of Rule 2.112 supports granting a special demurrer for uncertainty, which Mainstream has made to these causes of action. (*Grappo v. McMills* (2017) 11 Cal.App.5th 996, 1014.)

The special demurrers for uncertainty to the 10th, 11th, 12th, and 13th causes

of action are **sustained, with leave to amend**. Any amended pleading shall comply with California Rules of Court, Rule 2.112.)

D. Demurrer to Prayer for Punitive Damages

A demurrer can only be sustained if it disposes of an entire cause of action. (*Daniels, supra*, 246 Cal.App.4th at 1167; *PH II, Inc., supra*, 33 Cal.App.4th at 1682-1683.) " 'There is no cause of action for punitive damages. Punitive or exemplary damages are remedies available to a party who can plead and prove the facts and circumstances [set forth in Civil Code section 3294]. . . . "Punitive damages are merely incident to a cause of action, and can never constitute the basis thereof." ' [Citations omitted.]" (*Grieves v. Superior Court* (1984) 157 Cal. App. 3d 159, 163-164.) A motion to strike is the appropriate mechanism to attack a claim for punitive damages. (*Id.* at 164.)

The demurrer to the prayer for punitive damages cannot be sustained based on the foregoing authorities. The demurrer to the prayer for punitive damages is therefore **overruled**.

6. 9:00 AM CASE NUMBER: C24-01947
CASE NAME: DANA DENARDI VS. KEVIN DENARDI
HEARING ON ORDER OF EXAMINATION IN RE: DEBTOR: KEVIN DENARDI (BENCH WARRANT ISSUED AT 03.27.2026 HEARING)
FILED BY: DENARDI, DANA
TENTATIVE RULING:

On March 27, 2026 a hearing on a properly noticed Civil Subpoena (Duces Tecum) for Personal Appearance and Production of Documents, Electronically Stored Information and Things at Trial or hearing was held in Department 32. There was no appearance by the Defendant Kevin Denardi.

The court issued a bench warrant for Debtor Kevin Denardi for failing to appear at the hearing on March 27, 2026. The court held the warrant until April 10, 2026 at 9:00 a.m.

The court's records reflect that Debtor Kevin Denardi was served with notice of the April 10, 2026 hearing date, time and location and of the fact that the court was holding a warrant to today's date and would issue the warrant if Debtor did